Award
FINRA Office of Dispute Resolution

In the Matter of the Arbitration Between:

Claimant
Scout Trading, LLC

Case Number: 15-02816

vs.

Respondent
Wedbush Securities Inc.

Hearing Site: New York, New York

Nature of the Dispute: Member vs. Member

REPRESENTATION OF PARTIES

For Claimant Scout Trading, LLC ("Scout"): Robert A. Giacovas, Esq., Lazare Potter & Giacovas LLP, New York, New York.

For Respondent Wedbush Securities Inc. ("Wedbush"): John L. Erikson, Esq., Wedbush Securities Inc., Los Angeles, California.

CASE INFORMATION

Statement of Claim filed on or about: October 22, 2015.
Answer to Counterclaim filed by Claimant on or about: February 11, 2016.
Scout Trading, LLC signed the Submission Agreement: October 15, 2015.

Statement of Answer and Counterclaim filed by Respondent on or about: January 22, 2016.
Wedbush Securities Inc. signed the Submission Agreement: February 4, 2016.

CASE SUMMARY

Claimant asserted the following causes of action: breach of contract, conversion, and accounting.

Unless specifically admitted in the Statement of Answer and Counterclaim, Respondent denied the allegations made in the Statement of Claim and asserted various affirmative defenses.

RELIEF REQUESTED

In the Statement of Claim, Claimant requested (1) damages for breach of the Clearing Agreement of not less than $237,594.00; (2) consequential and incidental damages stemming from Respondent's breach of contract to be determined at the hearing but in an amount no less than $500,000.00; (3) in the alternative, return of Claimant's personal property, namely $237,549.00 that was wrongfully converted by Respondent; (4) any amount owed to Scout for overcharges of any kind, and which is revealed through accounting process; (5) interest at the legal rate of 9% from the date of the breach until any arbitration award rendered herein is fully paid; (6) Claimant's reasonable attorneys' fees; (7) cost of arbitration including expert witness fees, filing fees, and hearing cost and (8) such further and other relief as the arbitration panel may deem just and proper.

In the Statement of Answer and Counterclaim, Respondent requested (1) for all of Scout's claims to be dismissed in their entirety; (2) judgment against Scout for Wedbush's loss of over $675,000.00 in connection with the agreed settlement with FINRA, and for Wedbush 's attorney fees and cost of approximately $900,000.00; (3) for attorneys' fees, cost and fines incurred in connection with the enforcement of Wedbush's rights under the Clearing Agreement and PAIB Agreement, including but not limited to fees incurred in connection with this action; (4) for pre-judgment interest and post-judgment interest; (5) for disgorgement and/or restitution; (6) for cost of suit herein incurred; and (6) for such other and further relief as the panel may deem just and proper.

In its Answer to Respondent's Counterclaim, Claimant requested dismissal of Respondent's Counterclaim; reasonable attorneys' fees and costs incurred; costs of arbitration including expert witness fees, filing fees, and hearing costs; and such further and other relief as the Arbitration Panel may deem just and proper.

OTHER ISSUES CONSIDERED AND DECIDED

The Arbitrators acknowledge that they have each read the pleadings and other materials filed by the parties.

On or about October 6, 2016, Claimant filed a Motion for Sanctions. Respondent opposed Claimant's Motion for Sanctions. By Order dated October 26, 2016, the Panel denied Claimant's Motion for Sanctions.

The parties have agreed that the Award in this matter may be executed in counterpart copies or that a handwritten, signed Award may be entered.

AWARD

After considering the pleadings, the testimony and evidence presented at the hearing, the Panel has decided in full and final resolution of the issues submitted for determination as follows:

1. Respondent is liable for and shall pay to Claimant the sum of $237,594.00 in compensatory damages.

2. Respondent is liable for and shall pay to Claimant interest on the above-stated sum at the rate of 4.5% per annum from August 19, 2014 through and including the date of the award, plus interest at the rate of 9% per annum from the date of the award until paid in full.

3. Respondent is liable for and shall pay to Claimant $1,250.00 to reimburse Claimant for the non-refundable portion of the filing fee.

4. Respondent's Counterclaim is denied.

5. Any and all relief not specifically addressed herein, including attorneys' fees, is denied.

FEES

Pursuant to the Code, the following fees are assessed:

Filing Fees
FINRA Office of Dispute Resolution assessed a filing fee* for each claim:

Initial Claim Filing Fee	=$ 2,550.00
Counterclaim Filing Fee	=$ 2,550.00

**The filing fee is made up of a non-refundable and a refundable portion.*

Member Fees
Member fees are assessed to each member firm that is a party in these proceedings or to the member firms that employed the associated person at the time of the events giving rise to the dispute.

Accordingly, as a party, Scout Trading LLC is assessed the following:

Member Surcharge	=$ 2,475.00
Member Process Fee	=$ 5,075.00

Accordingly, as a party, Wedbush Securities Inc. is assessed the following:

Member Surcharge	=$ 2,475.00
Member Process Fee	=$ 5,075.00

Hearing Session Fees and Assessments

The Panel has assessed hearing session fees for each session conducted. A session is any meeting between the parties and the arbitrators, including a pre-hearing conference with the arbitrators that lasts four (4) hours or less. Fees associated with these proceedings are:

One (1) pre-hearing session with a single arbitrator @ $ 450.00/session			=$ 450.00
Pre-hearing conference:	September 13, 2016	1 session	
Two (2) pre-hearing sessions with the Panel @ $ 1,300.00/session			=$ 2,600.00
Pre-hearing conferences:	February 22, 2016	1 session	
	October 25, 2016	1 session	
Five (5) hearing sessions @ $ 1,300.00/session			=$ 6,500.00
Hearing Dates:	November 1, 2016	2 sessions	
	November 2, 2016	2 sessions	
	November 4, 2016	1 session	
Total Hearing Session Fees			=$ 9,550.00

The Panel has assessed the $9,550.00 hearing session fees to Respondent.

All balances are payable to FINRA Office of Dispute Resolution and are due upon receipt.

ARBITRATION PANEL

Madelyn A. Levy	-	Non-Public Arbitrator, Presiding Chairperson
Dennis M. Pape	-	Non-Public Arbitrator
Richard D. Gueren	-	Non-Public Arbitrator

I, the undersigned Arbitrator, do hereby affirm, pursuant to Article 7507 of the Civil Practice Law and Rules, that I am the individual described herein and who executed this instrument which is my award.

Concurring Arbitrators' Signatures

Madelyn A. Levy
Non-Public Arbitrator, Presiding Chairperson

11/16/16
Signature Date

Dennis M. Pape
Non-Public Arbitrator

Signature Date

Richard D. Gueren
Non-Public Arbitrator

Signature Date

November 18, 2016
Date of Service (For FINRA Office of Dispute Resolution office use only)

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